

Investment Practice Recognizes Importance of Character of the Industry. This conception of diverse margins of safety has been solidly grounded in investment practice for many years. The threefold classification of enterprises—as railroads, public utilities, or industrials—was intended to reflect inherent differences in relative stability and consequently in the coverage to be required above bond interest requirements. Investors thought well, for example, of any railroad which earned its bond interest twice over, but the same margin in the case of an industrial bond was ordinarily regarded as inadequate. In the decade between 1920 and 1930, the status of the public-utility division underwent some radical changes. A sharp separation was introduced between light, heat, and power services on the one hand, and street-railway lines on the other, although previously the two had been closely allied. The trolley companies, because of their poor showing, were tacitly excluded from the purview of the term “public utility,” as used in financial circles, and in the popular mind the name was restricted to electric, gas, water, and telephone companies. (Later on, promoters endeavored to exploit the popularity of the public utilities by applying this title to companies engaged in all sorts of businesses, including natural gas, ice, coal, and even storage.) The steady progress of the utility group, even in the face of the minor industrial setbacks of 1924 and 1927, led to an impressive advance in its standing among investors, so that by 1929 it enjoyed a credit rating fully on a par with the railroads. In the ensuing depression, it registered a much smaller shrinkage in gross and net earnings than did the transportation industry, and it seems logical to expect that bonds of soundly capitalized light and power companies will replace high-grade railroad bonds as the premier type of corporate investment. (This seems true to the authors despite the distinct recession in the popularity of utility bonds and stocks since 1933, due to a combination of rate reductions, governmental competition and threatened dangers from inflation.)

Depression Performance as a Test of Merit. Let us turn our attention now to the behavior of these three investment groups in the two recent depression tests—that of 1931–1933 and that of 1937–1938. Of these, the former was of such unexampled severity that it may seem unfair and impractical to ask that any investment now under consideration should be measured by its performance in those disastrous times. We have felt, however, that the experiences of 1931–1933 may be profitably viewed as